

People & Talent Annual Report

FY 2024 – 2025

Workforce Strategy | Talent Acquisition | Learning & Development
Compensation & Benefits | Employee Engagement | DEI Initiatives

3,480	624	9.2%	61	92,000
Total Staff	New Hires	Attrition	eNPS	L&D Hours

1. EXECUTIVE SUMMARY

Overview

Zephyr Consulting Group is a 22-year-old management consulting and professional services firm headquartered in Bengaluru, Karnataka, with offices in Mumbai, Delhi NCR, Hyderabad, Pune, Singapore, and Dubai. The firm specializes in strategy consulting, digital transformation, operations advisory, HR consulting, and technology implementation for Fortune 500 and mid-market clients across BFSI, retail, healthcare, manufacturing, and public sector verticals.

This People & Talent Annual Report documents the firm's workforce performance, HR initiatives, talent outcomes, and people strategy for FY2025. It is intended for the Executive Committee, Board HR Sub-Committee, and senior management. Key highlights include a record 624 hires, reduction in overall attrition from 11.4% (FY2024) to 9.2% (FY2025), launch of the ZephyrLeads leadership pipeline program, and achievement of gender diversity milestone of 44.1% female workforce.

Key HR Metrics at a Glance

Metric	FY2023	FY2024	FY2025	Target FY26
Total Headcount	2,910	3,180	3,480	3,800
Net New Hires	390	480	624	650
Overall Attrition %	13.1%	11.4%	9.2%	<9%
Voluntary Attrition %	10.2%	8.8%	7.1%	<7%
eNPS Score	48	54	61	65
CSAT – HR Services	3.9/5	4.1/5	4.4/5	4.6/5
Female Workforce %	39.2%	41.8%	44.1%	46%
Avg. Training Hrs/emp	58	72	88	100
Internal Promotion %	22%	26%	31%	35%
Offer Acceptance Rate	74%	79%	84%	87%

Table 1.1 — Key HR Metrics FY2023–FY2025

2. WORKFORCE COMPOSITION & DEMOGRAPHICS

Headcount by Practice Area

Zephyr's 3,480 employees are organized across six practice areas and two support divisions. The Strategy & Operations practice remains the largest, while the Digital & Technology practice recorded the highest growth rate of 28% YoY, reflecting increased client demand for digital transformation engagements.

Practice Area	FY2024	FY2025	YoY Growth	% of Total	Avg. Tenure (yrs)
Strategy & Operations	820	934	+13.9%	26.8%	5.4
Digital & Technology	580	742	+27.9%	21.3%	3.8
Finance & Risk Advisory	490	541	+10.4%	15.5%	6.1
HR & Organisation	320	368	+15.0%	10.6%	4.9
Supply Chain & Ops	410	452	+10.2%	13.0%	5.8
Healthcare & Life Sciences	260	298	+14.6%	8.6%	4.2
Corporate Functions	300	345	+15.0%	9.9%	6.8
TOTAL	3,180	3,480	+9.4%	100%	5.1

Table 2.1 — Headcount by Practice Area

Geography & Location Mix

Location	Headcount	% Share	Remote %	FY24 Count	YoY Δ
Bengaluru	1,042	29.9%	31%	912	+14.3%
Mumbai	682	19.6%	28%	598	+14.0%
Delhi NCR	548	15.7%	35%	488	+12.3%
Hyderabad	412	11.8%	30%	372	+10.8%
Pune	324	9.3%	38%	292	+11.0%
Singapore	268	7.7%	18%	248	+8.1%
Dubai	204	5.9%	22%	190	+7.4%
TOTAL	3,480	100%	30.2%	3,180	+9.4%

Table 2.2 — Headcount by Geography FY2025

Diversity Breakdown

Dimension	Category	Count	% Share	YoY Change
Gender	Female	1,535	44.1%	+2.3pp
Gender	Male	1,888	54.2%	-2.1pp
Gender	Non-binary/NA	57	1.6%	+0.4pp
Age Group	Under 25	480	13.8%	+1.2pp
Age Group	25–34	1,428	41.0%	-0.4pp

Age Group	35–44	988	28.4%	+0.2pp
Age Group	45 & above	584	16.8%	-1.0pp
Employment Type	Permanent	2,972	85.4%	+0.8pp
Employment Type	Contract	380	10.9%	-0.6pp
Employment Type	Intern/Trainee	128	3.7%	-0.2pp
Persons with Disability	PWD Staff	72	2.1%	+0.3pp

Table 2.3 — Workforce Diversity Metrics FY2025

Headcount by Practice Area FY2025

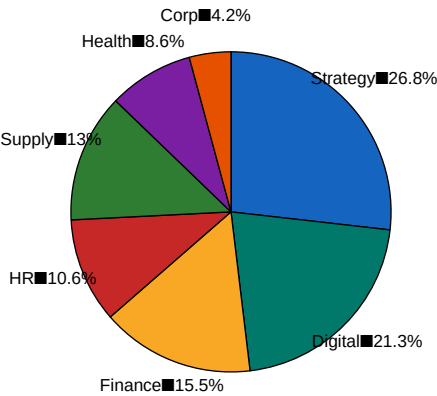


Chart 2.1 — Practice Area Headcount Split

3. TALENT ACQUISITION

Hiring Performance FY2025

The Talent Acquisition team of 38 recruiters executed 624 hires in FY2025, a 30% increase over the previous year. The average time-to-fill improved from 42 days (FY2024) to 34 days, while the offer acceptance rate reached a record 84%. Campus hiring from Tier-1 institutions accounted for 21% of total hires. The team leveraged AI-assisted resume screening, cutting sourcing time by 38%.

Hiring Category	Target	Actual	Achieved%	Avg. ToF (days)	Offer Accept%
Lateral – Senior Mgr+	80	74	92.5%	52	78%
Lateral – Manager	120	134	111.7%	38	82%
Lateral – Consultant	180	198	110.0%	31	86%
Campus – PG (MBA/MTech)	80	94	117.5%	18*	91%
Campus – UG (BTech/BBA)	60	82	136.7%	18*	89%
Lateral – Experienced Hire	60	42	70.0%	58	72%
TOTAL	580	624	107.6%	34	84%

Table 3.1 — Hiring Performance by Category (*campus drives follow fixed calendar)

Sourcing Channel Effectiveness

Channel	Hires	% of Total	Cost per Hire (Rs.)	Quality Score (1–5)
Employee Referrals	162	26.0%	18,500	4.6
LinkedIn / JobPortals	148	23.7%	32,000	3.9
Campus Recruitment	176	28.2%	28,500	4.3
Consultancy / RPO	68	10.9%	85,000	3.7
Direct Applications	42	6.7%	8,000	3.5
Internal Transfers	28	4.5%	5,500	4.8

Table 3.2 — Sourcing Channel Performance FY2025

Key TA Achievements FY2025

- Time-to-Fill reduced by 19% (42 → 34 days) through AI resume screening pilot
- Campus hiring expanded to 18 new institutions; 12 IIMs and 6 NITs added to partner list
- Employee Referral Program revamped — bonus increased to Rs.50,000 for senior roles
- Diversity hiring: 52% of lateral hires were female, up from 43% in FY2024
- Offer-to-join dropouts reduced from 16% to 9% via structured pre-boarding engagement

4. ATTRITION ANALYSIS

Attrition Overview

Overall attrition declined to 9.2% in FY2025 from 11.4% in FY2024, a significant improvement driven by targeted retention programs, enhanced compensation benchmarking, and a revamped career growth framework. Voluntary attrition of 7.1% is the lowest in six years. The Digital & Technology practice remains the highest-risk area at 13.8% attrition, primarily due to competitor poaching and startup opportunities.

Practice Area	Headcount	Exits	Attrition%	Voluntary%	Involuntary%	Regrettable%
Strategy & Operations	934	72	7.7%	5.9%	1.8%	4.2%
Digital & Technology	742	102	13.8%	11.4%	2.4%	9.8%
Finance & Risk Advisory	541	38	7.0%	5.2%	1.8%	3.4%
HR & Organisation	368	22	6.0%	4.8%	1.2%	2.9%
Supply Chain & Ops	452	32	7.1%	5.5%	1.6%	3.8%
Healthcare & Life Sciences	298	24	8.1%	6.2%	1.9%	4.1%
Corporate Functions	345	30	8.7%	6.8%	1.9%	4.9%
COMPANY TOTAL	3,480	320	9.2%	7.1%	2.1%	5.3%

Table 4.1 — Attrition Analysis by Practice Area FY2025

Exit Interview Findings — Top Reasons for Leaving

Reason for Leaving	% of Exits	FY2024 %	Trend
Better Compensation Elsewhere	28%	34%	Improving
Career Growth / Promotion Speed	22%	19%	Worsening
Work-Life Balance	18%	21%	Improving
Manager / Leadership Issues	12%	9%	Worsening
Startup / Entrepreneurship	9%	7%	Worsening
Relocation / Personal Reasons	7%	6%	Stable
Other	4%	4%	Stable

Table 4.2 — Exit Interview Reasons (Top Buckets, voluntary exits only)

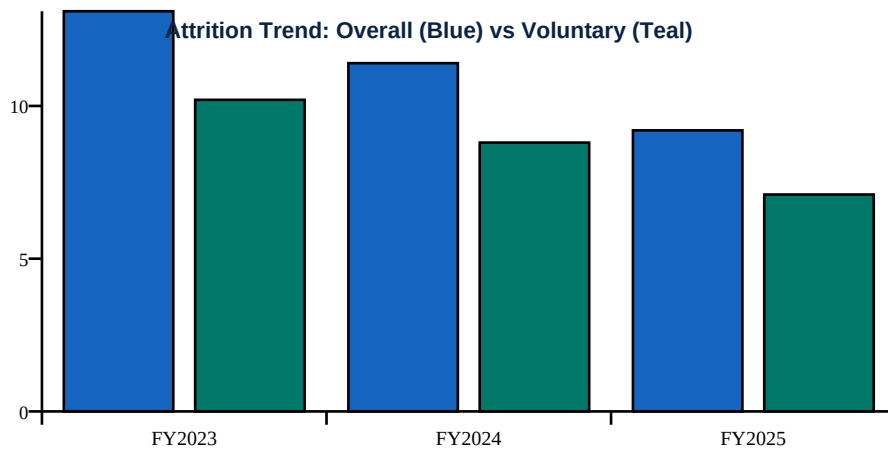


Chart 4.1 — Attrition % Trend FY2023–FY2025

5. LEARNING & DEVELOPMENT

L&D; Overview

Zephyr's Learning & Development function delivered 92,000+ learning hours in FY2025 across 181 curated programs, up from 68,000 hours in FY2024. The L&D; budget was Rs.14.2 Cr, representing 2.1% of total payroll. The flagship ZephyrLeads program graduated its first 42 senior managers into the leadership pipeline. Digital learning (LMS + virtual ILT) accounted for 64% of all training delivered, up from 48% in FY2024.

Program Category	Programs	Participants	Total Hrs	Completion%	Avg CSAT
Technical / Domain Skills	68	1,820	32,400	88%	4.3/5
Leadership Development	22	680	18,600	92%	4.7/5
Behavioral / Soft Skills	34	2,410	16,800	94%	4.5/5
Compliance & Mandatory	18	3,480	12,180	100%	3.8/5
Digital & AI Upskilling	24	940	8,400	82%	4.6/5
Onboarding & Induction	15	624	3,744	100%	4.4/5
TOTAL	181	9,954*	92,124	93%	4.4/5

Table 5.1 — L&D; Program Summary FY2025 (*employees may attend multiple programs)

ZephyrLeads — Leadership Pipeline Program

ZephyrLeads is an 8-month intensive leadership accelerator for high-potential Senior Managers targeting Partner/Director-level readiness. The FY2025 cohort (Cohort 1) comprised 42 participants selected through a rigorous 360-degree assessment, psychometric profiling, and panel interview. The program covers executive presence, P&L; management, client relationship mastery, change leadership, and business development. External faculty from ISB Hyderabad and INSEAD Asia campus delivered 3 residential modules.

Module	Duration	Faculty	Key Topics
Strategic Thinking	3 days	ISB Hyderabad	Business Strategy, Competitive Analysis, M&A
Executive Communication	2 days	Internal Expert	Exec Presence, Boardroom Skills, Media
P&L & Financial Acumen	2 days	CFO + External	P&L Ownership, Budgeting, Value Creation
Client Mastery	3 days	INSEAD Asia	C-Suite Selling, Account Expansion, NPS
Leading Large Teams	2 days	External Coach	Team Design, Culture, Conflict Resolution
Innovation & Digital	2 days	Internal CTO	AI/ML Basics, Digital Disruption, Ideation
Capstone: Business Case	2 days	Exec Committee	Live Business Problem Presentation

Table 5.2 — ZephyrLeads FY2025 Cohort 1 Program Structure

6. COMPENSATION & BENEFITS

Salary Benchmarking & Increment Overview

Zephyr completed its annual compensation benchmarking exercise in Q1 FY2025 in partnership with Mercer and Aon India. The firm's total compensation positioning targets the 65th percentile for Consultants and Managers, and 70th–75th percentile for Director and above. An average merit increment of 9.8% was awarded in April 2025, with high-performers receiving increments in the 14%–22% range.

Grade	Band (CTC Rs. L/yr)	Avg. CTC	Median CTC	Increment%	Variable%
Analyst	8 – 14	11.2	10.8	11.2%	10%
Consultant	14 – 22	18.4	17.6	10.4%	12%
Senior Consultant	22 – 32	27.1	26.2	9.8%	15%
Manager	32 – 48	40.8	39.4	9.2%	18%
Senior Manager	48 – 72	59.6	57.8	8.8%	22%
Associate Director	72 – 110	88.4	86.2	8.4%	28%
Director & above	110+	142.0	138.0	7.8%	35%

Table 6.1 — Compensation Bands & Increment FY2025 (CTC = Cost to Company)

Benefits Program Summary

Benefit	Coverage	Employer Cost/emp (Rs)	Utilisation%
Medical Insurance (Family)	All Permanent	48,000	72%
Term Life Insurance	All Permanent	8,400	100%
Accident Insurance	All Staff	4,200	100%
National Pension Scheme	All Permanent	12% of Basic	88%
Gratuity Fund	5+ yr employees	As per statute	100%
Flexi Benefit Plan	Manager & above	Up to Rs.1.2L	64%
EAP (Mental Health)	All Staff	3,600	18%
Childcare Subsidy	Parents < 6 yrs	Up to Rs.36,000/yr	41%
Learning Reimbursement	All Permanent	Up to Rs.75,000/yr	29%
Sodexo Meal Card	All Staff	Rs.2,200/month	91%

Table 6.2 — Employee Benefits Program Details FY2025

7. PERFORMANCE MANAGEMENT & EMPLOYEE ENGAGEMENT

Performance Review Outcomes

Zephyr operates a continuous performance management system (ZephyrPulse) with quarterly check-ins and an annual calibration. The 5-point rating scale was replaced by a simplified 3-category system (Exceeds, Meets, Below Expectations) in FY2025 to reduce recency bias. Annual Bell-curve targets were eliminated in favor of merit-based distribution.

Rating Category	% FY2025	% FY2024	Avg. Increment	Variable Payout%
Exceeds (Top 20%)	19.8%	20.1%	16.8%	140%
Meets (Mid 65%)	65.4%	65.2%	9.2%	100%
Below (Bottom 15%)	14.8%	14.7%	3.4%	60%

Table 7.1 — Performance Rating Distribution FY2025

Employee Engagement Survey Results

Zephyr conducted its annual engagement survey in November 2024 with a record 91% participation rate. The overall eNPS (Employee Net Promoter Score) improved to 61 (FY2024: 54). Pulse surveys were conducted quarterly for real-time sentiment tracking.

Dimension	FY2025 Score	FY2024 Score	Benchmark*	Status
Overall eNPS	61	54	55	Above
Job Satisfaction	4.2/5	4.0/5	3.9/5	Above
Manager Effectiveness	4.1/5	3.8/5	4.0/5	Above
Career Growth Confidence	3.8/5	3.6/5	3.8/5	At Par
Work-Life Balance	3.7/5	3.5/5	3.7/5	At Par
Recognition & Rewards	3.6/5	3.4/5	3.6/5	At Par
D&I Climate	4.3/5	4.1/5	4.0/5	Above
Org. Communication	4.0/5	3.7/5	3.9/5	Above
Intent to Stay (next 2 yrs)	72%	66%	68%	Above

Table 7.2 — Employee Engagement Survey Results (* India Consulting Sector Benchmark)

HR Priorities & Roadmap FY2026

Initiative	Owner	Q1 FY26	Q4 FY26 Target
AI-Driven Talent Analytics	CHRO + CTO	Vendor Selection	Predictive attrition live
Skills Taxonomy 2.0	L&D Head	Skills audit done	68% workforce tagged
Equitable Pay Framework	C&B Head	Gap analysis	Pay gap < 2% by gender
Hybrid Work Policy v2	HRBP Lead	Policy drafted	Full rollout
ZephyrLeads Cohort 2	L&D Head	Nominations open	50 participants graduated
Disability Inclusion 3%	DEI Lead	Baseline set	3% PWD workforce

Table 7.3 — HR Strategic Roadmap FY2026

"Our people are not just our biggest asset — they are our only product. Every investment in their growth, wellbeing, and sense of belonging is an investment in Zephyr's future."

— Meera Krishnaswamy, Chief Human Resources Officer, Zephyr Consulting Group

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